



India's enterprise IT moment: Building AI-ready sovereign, and sustainable infrastructure

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Enterprise IT infrastructure in India is undergoing a **paradigm shift**. Once viewed as a back-office utility “to keep the lights on,” it is now seen as a **strategic enabler** of business value and innovation. In fact, Gartner projects that India's spending on IT infrastructure (implementation, managed services, and IaaS) will grow at **16.7% CAGR**, reaching about **\$25 billion by 2029** (up from \$9B in 2023). This dramatic investment surge signals a mindset change: robust digital infrastructure is recognized as core to **competitive advantage**, not just an operational necessity. Two forces are driving this transformation – the rise of **Artificial Intelligence (AI)** and the ubiquity of **cloud computing**. Today's enterprises are infusing AI across products and processes, and cloud has become the default backbone for IT. These trends demand an **“AI-first, cloud-smart” infrastructure** approach.

Cognizant, as a leading technology solutions provider, encapsulates this approach in twin principles: **“Infra for AI”** and **“AI for Infra.”** In simple terms, *Infra for AI* means **building infrastructure that can power AI-driven business**, and *AI for Infra* means **using AI to intelligently manage and optimize infrastructure**. This perspective is particularly relevant in India, where a young digital ecosystem and minimal legacy constraints allow companies to leapfrog into the future.

Key Trends Shaping Enterprise Infrastructure

Several strategic forces are reshaping how Indian enterprises design and run their IT infrastructure:

1. AI-First Infrastructure (Infra for AI)

AI is now at the heart of infrastructure strategy. The advent of high-performance computing (like GPU-based parallel processing) has turbocharged AI adoption. Generative AI, particularly, has seen **phenomenal uptake in India** – an AWS study found **98% of Indian organizations use GenAI tools, with 43% fully integrating AI into workflows**. This near-universal adoption is fueling demand for **AI-ready infrastructure that can handle intensive model training, large-scale data processing, and real-time AI services**.

India's AI boom is driving demand for GPU clusters and AI-optimized IaaS to enable scalable, on-demand compute. India's data center capacity is expected to reach **2,000+ MWⁱ** and digital hub investments are set to exceed \$100B by 2027ⁱⁱ. This reflects a massive shift toward AI-ready ecosystems without heavy upfront costs. Enterprises are racing to build efficient infrastructure to support high-throughput AI workloads.

2. Cloud Diversification and Data Sovereignty

Enterprises are becoming cloud-smart, diversifying their cloud strategy. In the past, many

organizations tried to go “all-in” on a single public cloud. Now, with growing data volumes and compliance demands, companies are adopting **multi-cloud and hybrid cloud** models. They distribute workloads across multiple public clouds, private clouds, and on-premises systems to optimize for cost, performance, and regulatory compliance.

Enterprises are adopting **multi-cloud strategies** to avoid vendor lock-in and boost resilience—using different providers for apps, analytics, and sensitive data. To manage complexity, they're deploying **cloud management platforms** and **FinOps** for unified visibility across environments.

In India, rising **data sovereignty** concerns are driving adoption of **sovereign clouds**, especially in banking and public sectors. By 2030, hybrid architecture and **Zero Trust + SASE frameworks** will be critical for secure, compliant, and portable multi-cloud operationsⁱⁱⁱ.

3. Sustainable and Resilient Infrastructure

Sustainability has become a core requirement, not an afterthought. As digital infrastructure expands, so does its environmental footprint. Data centers consume vast amounts of electricity for servers and cooling. According to industry analysis, India's data center capacity is projected to require an additional **45–50M sq. ft. of real estate and 40–45 TeraWatt**